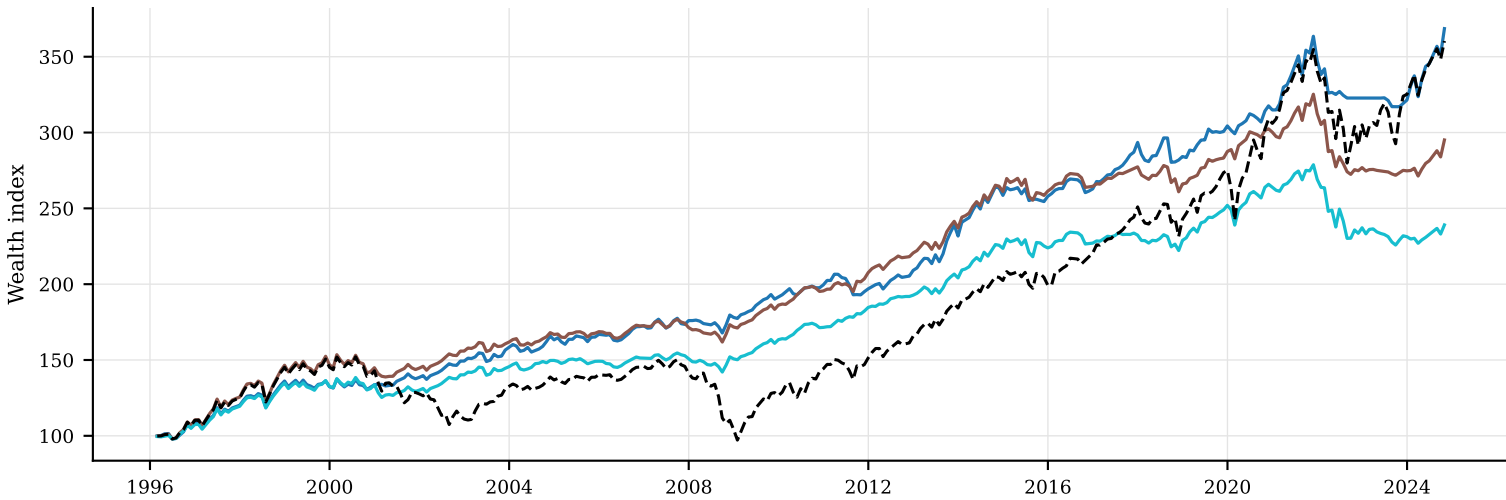


# Probability-smoothing sweep, defensive dynamic

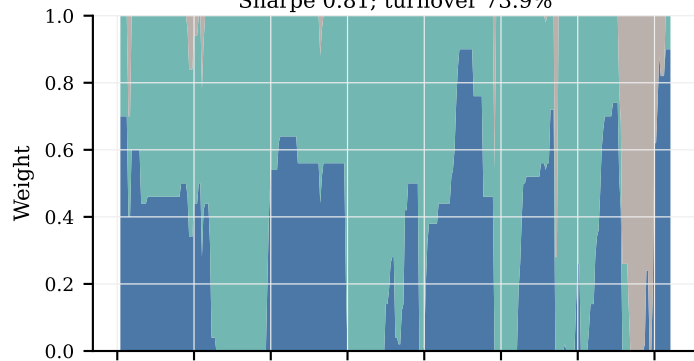
Wealth index



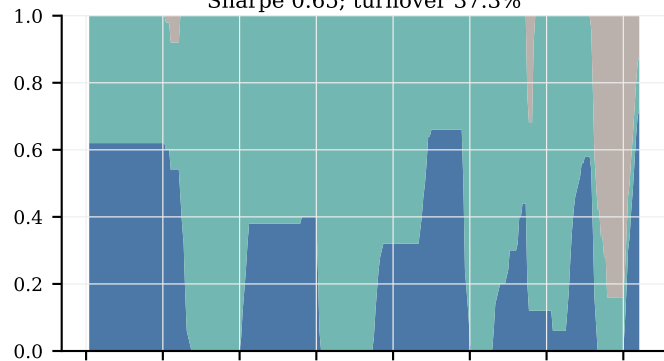
Smoothing half-life

— Smoothing half-life 0 — Smoothing half-life 6 - - 60/40 benchmark  
— Smoothing half-life 3

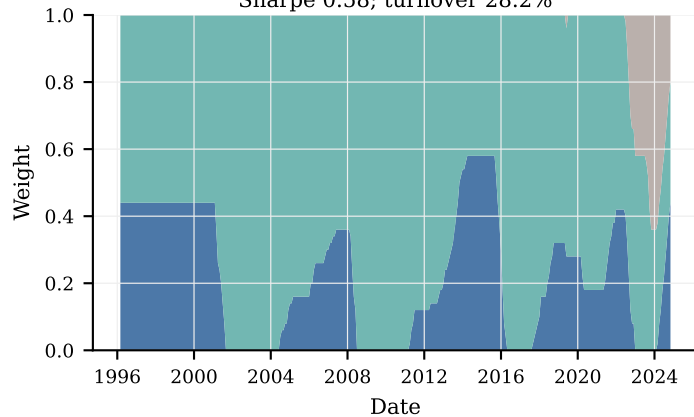
Smoothing half-life 0  
Sharpe 0.81; turnover 73.9%



Smoothing half-life 3  
Sharpe 0.65; turnover 37.3%



Smoothing half-life 6  
Sharpe 0.58; turnover 28.2%



■ Equity ■ Bond ■ Cash